KENBRIGHT ACTUARIAL AND FINANCIAL SERVICES LIMITED

ORDINARY LIFE INSURANCE DATA & CHECKS

INTERNAL TECHNICAL PROCEDURES MANUAL

VERSION 1.0

JANUARY 2026

KAFS POLICY

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DOCUMENT TRACKING

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OUR REF

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DOCUMENT PURPOSE

This document has been produced as part of the internal technical procedures for KAFS and provides guidance on Ordinary Life Insurance Valuation Data & Checks

DOCUMENT OWNERSHIP

The owner of this document is Kenbright Actuarial and Financial Services Limited

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1 DATA REQUIREMENTS

1.1. The data required for the valuation of ordinary life insurance technical liabilities as at the Valuation Date are:

a) Detailed description of all products sold by the insurer

b) Policy Data for the ordinary life insurance class underwritten by the insurer:

- Ordinary Life policies
- Investment Policies e.g. unit-linked
- Details of Riders sold with any of the products sold by the company
- Historical policy level data of Deaths, Surrenders, Maturities and any other benefit events covered by the insurer's products (at least 5 years)
- Historical policy level data on Lapses and Paid-up policies (at least 5 years)

c) Financial Statements & Solvency Computations (at least 3 years)

d) Previous Valuation Reports (at least 3 years)

1.2. Reassurance cover details for the individual life business

Policy Level Data – Actives as at the Valuation Date

Ordinary Life Policies (Including Joint Life Policies)

1.3. The data items required in these files are:

a) Unique policy identifier – policy number

b) Gender

c) Date of birth of assured life

d) Date of birth of spouse or other beneficiaries, where applicable e.g. for Joint Life Assurances

e) Product name

f) Policy type – with or without profit

g) Policy option, where applicable

h) Issue date of the policy

i) Policy term

j) Maturity date

k) Total basic sum assured

l) Total bonuses declared to the Valuation Date

m) Premium payment frequency – single, annual, semi-annually, quarterly or monthly etc

n) Office annual premium or single premium, where applicable

o) Rider details and premium (if any)

p) Loan amount attached for Policy Loans, where applicable

Investment Assurance Policies (including joint life policies)

1.4. The data items required in these files are:

a) Unique policy identifier – policy number

b) Gender

c) Date of birth of assured life

d) Date of birth of spouse or other beneficiaries, where applicable e.g. for Joint Life Assurances

e) Product name

f) Investment type – index/unit/asset fund type if linked etc.

g) Policy option, where applicable

h) Issue date of the policy

i) Policy term

j) Maturity date

k) Total basic sum assured

l) Premium payment frequency – single, annual, semi-annually, quarterly or monthly etc

m) Office annual premium or single premium, where applicable

n) Premium Allocation Basis

o) Rider details and premium (if any)

p) Loan amount attaching for Policy Loans, where applicable

Historical Movement Data Lapses and Paid-Up Policies

1.5. Same information as for policy level data above as applicable, plus the following additions:

a) Date of lapsing/policy becoming paid up

b) Paid up Sum Assured for paid-up policies

Other Benefit Events (maturities, deaths, surrenders etc)

1.6. Same information as for policy level data above as applicable, plus the following additions:

a) Type of benefit event

b) Date of benefit event

c) Benefit amount paid

d) Date of benefit payment

e) Details of outstanding benefit amounts, if payment outstanding

Financial Statements & Solvency Report

1.7. The financial statements required for the valuation of ordinary life insurance technical liabilities are:

a) Audited accounts for at least previous 3 years.

b) Management accounts for the period to the Valuation Date

1.8. Completed RBC workings as at the current Valuation Date.

Previous Valuation Reports

1.9. Annual Actuarial Valuation Reports for the past 3 years will be required.

1.10. These will be used to assess actual emerging experience against assumptions used at previous valuation

2 DATA CHECKS

2.1. Upon receiving data, the next phase is carrying out data checks before the data is used in computations.

2.2. The aim is to review the credibility of the data provided which should include considerations of the data's:

a) Reasonability & Appropriateness

b) Consistency; and

c) Completeness & Accuracy

Reasonability & Appropriateness Checks

2.3. Ensure that we have received full data as requested

2.4. Check each file to confirm that the data items requested are provided

2.5. Confirm that entries are saved in their right formats e.g. dates, numbers, and text

2.6. Identify unusual entries in the data that don't make sense. These include blanks and unreasonable values such as negative, very small or zero values, and unusual dates

2.7. Check that the age of each member, at entry, meets the entry age requirement

2.8. Check that the age of each member as at the Valuation Date is not more than the age limit for the respective product. This should be based on the product information.

2.9. Check that the term of policy, among other information, are in line with the description of the product.

2.10. At a minimum, perform the following checks:

a) Date of birth is before the date of issue of policy

b) Maturity date is after the date of issue

c) Each policy to be valued is active as at the Valuation Date i.e. maturity date is later than Valuation Date for each policy in the exposure files

d) Office premiums are less than the sum assured for all policies.

2.11. Check that all entries have unique identifiers (e.g. policy and claim numbers) and that there are no duplicates

2.12. Perform random spot checks and any other checks to confirm the entries, make sense e.g. names match the gender etc.

Consistency Checks

2.13. Carry out a movement analysis in the policy data as at each of the past 3 Valuation Dates, including the current Valuation Date, as follows:

2.14. Let, V_t be the current Valuation Date and V_{t-1} the previous Valuation Date. Then:

$$\begin{aligned} &Number\ of\ Active\ Policies\ as\ at\ V_t \\ &= Number\ of\ Active\ Policies\ as\ at\ V_{t-1} + Number\ of\ New\ Policies\ Written\ during\ the\ Intervaluation\ period \\ &- Movements\ in\ Policies\ e.g.\ lapses, surrenders, deaths, maturities\ etc\ over\ the\ Intervaluation\ period \end{aligned}$$

2.15. Ensure you can track policies that were Active as at the previous Valuation Date but missing in the Actives schedules as at the current Valuation Date in the historical movement schedules for Deaths Maturities and Surrenders and other benefit events. Perform this check for the past 3 years.

Completeness & Accuracy Checks

2.16. Confirm the accuracy of the total amounts (e.g. premium and claim amounts) in the data shared by comparing with the values disclosed in the accounts. Do this for all policy data files per type of product offered by the insurance company.

Notes

2.17. This manual is intended as a guide on the minimum considerations when performing checks on information and data received for an ordinary life insurance valuation exercise. It is not intended to be an exhaustive guide of all requirements. Each client data set should be treated with keen consideration of their unique requirements.

2.18. Summarize all data received and any queries in a separate file to be sent to the client for clarification. Discuss the main issues with the Actuarial Manager before seeking clarification from the client.

2.19. Follow up on the queries raised to ensure that the data cleaning phase doesn't affect the project timeline.

Sign-Off

2.20. Highlight the need for assumptions to be made on the data and information provided, where necessary, and discuss this with the Actuarial Manager before sign-off.

3 DATA COLLECTION TEMPLATE

Ordinary Life Insurance Valuation

General Information	
Insurer:	
Valuation Date:	

Requested Data	
1	Audited Financial Statements for the past 3 years
2	Solvency Computations for the past 3 years
3	Management Accounts as at Valuation Date
4	Detailed description of all products sold by the insurer and riders sold with the products
5	Previous Actuarial Valuation Reports (past 3 years)
6	Policy Level Data for the ordinary life insurance class underwritten by the Insurer:
	Ordinary Life Exposure File as at the Valuation Date
	Ordinary Life Policy Loans
	Historical policy level data of Deaths, Maturities, Surrenders and other benefit events (over the last 5 years)
	Historical policy level data on Lapses and Paid-up Policies (over the last 5 years)

Policy Level Information

Ordinary Life Business

Exposure File (In-force Policies), Lapses and Paid-Up Policies
Unique Policy Identifier (Policy Number)
Gender
Policy type (with or without profits)
Product Name
Total basic sum assured
Total bonuses declared to the valuation date
Office annual premium or single premium, where applicable
Extra annual premium (if any)
Rider details and annual premium (if any)
Premium payment frequency (single premium, annual, semi-annually, quarterly or monthly)
Single premium (if applicable)
Date of birth of the assured life
Date of birth of beneficiaries/spouses, where applicable
Issue date of the policy
Maturity date
Policy term in years
Name of the policyholder
Sum Assured payment option, where applicable

Sign-Off Template

Sign-off

Statement by the Lead Analyst

I have acquired the required data from the client and did data validation in line with the KAFS Internal Technical Procedure on Data & Checks. The key assumptions made are summarized below:

Key Assumptions

1 _____

2 _____

3 _____

4 _____

5 _____

Name: _____

Date: _____

Statement by the Supervisor

I have reviewed the data validation process and discussed the issues encountered and the key assumptions made by the Lead Analyst. I confirm that the data is appropriate for use.

Name: _____

Date: _____

4 APPROVAL

Thus, adopted and signed by the management and Chief Actuary of KAFS in January 2026.

APPROVED BY

Ezekiel Macharia

Chief Actuary & Managing Director – Kenbright Actuarial and Financial Services Limited

Date: January 2026

Signed:

kenbright

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